Main events

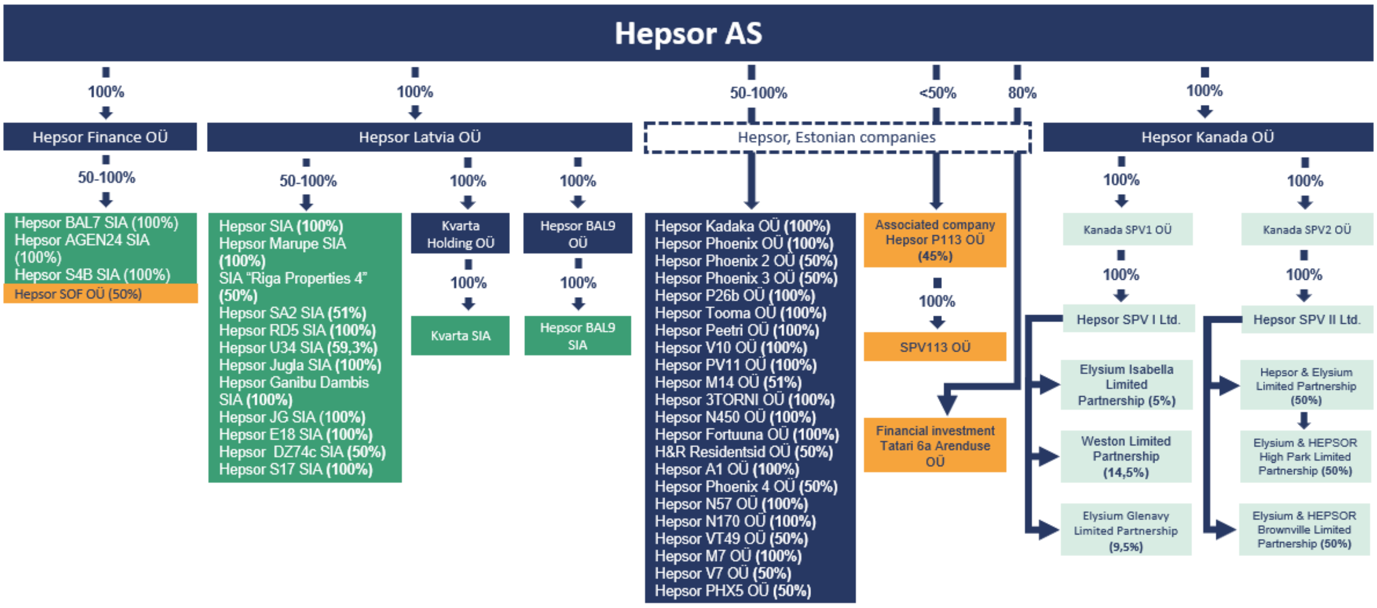
- ✓ Hepsor AS's subsidiary, Hepsor Finance OÜ, signed a shareholders' agreement under which a 50% stake in Hepsor SOF OÜ was sold to the EfTEN Special Opportunities Fund, managed by EfTEN Capital. The sale of the stake in Hepsor SOF OÜ laid the foundation for the joint implementation of a development project in Lasnamäe. On April 14, Hepsor and EfTEN announced their cooperation to develop approximately 300 apartments in Lasnamäe.
- ✓ On 30 April 2025 Hepsor AS's subsidiary, Hepsor 3Torni OÜ, signed a real rights agreement under which 20 apartments in the Ojakalda Kodud development project (Paldiski mnt 227C, Tallinn) were sold to the company's other shareholder, Artex KV OÜ.
- ✓ The Supervisory Board of Hepsor AS has elected Martti Krass, the current Country Manager for Latvia, as the new Management Board Member of Hepsor AS. He will assume the position on 1 August 2025, with a five-year mandate. The current Chairman of the Management Board, Henri Laks, will step down on 1 August 2025 and, in accordance with the decision of Hepsor's General Meeting of Shareholders held on 21 May 2025, will become a member of the Supervisory Board.
- ✓ Hepsor AS's subsidiary, Hepsor VT49 OÜ, signed long-term lease agreements with Maxima Eesti OÜ and GYM Eesti OÜ and will begin the development of a new business center at Vana-Tartu mnt 49, Rae Parish.
- ✓ Hepsor AS has decided to acquire the minority stake in Hepsor Latvia OÜ held by Martti Krass (through Hugomon OÜ), the current Country Manager for Latvia and future Member of the Management Board of Hepsor AS, and to replace it with a stake in Hepsor AS. The purpose of the transaction is to align the interests of the future board member with those of the Group as a whole by transferring Martti Krass's ownership to the parent company level.
- ✓ On 19 June 2025, Hepsor AS's subsidiary, Hepsor Latvia OÜ, and INTH Vara OÜ signed a shareholders' agreement aimed at starting the construction of a 13-story residential building in Riga, at Dzelzavas iela 74c. According to the shareholders' agreement, Hepsor Latvia OÜ will acquire a 50% stake in the company Laba māja centrā SIA (under its new business name Hepsor Dz74c SIA) for a purchase price of 174 thousand euros. The change of ownership has not yet been registered in the Commercial Register.
- ✓ On 8 July 2025, the Supervisory Board of Hepsor AS adopted a decision to increase the share capital by 57,821 euros. The share capital increase is related to the acquisition of a 20% holding in Hepsor Latvia OÜ (registration code 16193797) from Hugomon OÜ (registration code 14221704), as approved by the shareholders' resolution on 12 June 2025. The acquisition will be partially paid for through the issuance of new shares in Hepsor AS to Hugomon OÜ.
- ✓ On 9 July, Hepsor AS's subsidiary Hepsor Phoenix 4 OÜ and the construction company Mitt & Perlebach OÜ signed a construction contract for the development project named M12, located at Manufaktuuri 12, Tallinn. The total value of the construction contract is 7.0 million euros, plus VAT.
- ✓ On 21 July, Hepsor SOF OÜ, a joint venture between Hepsor AS and the EfTEN Special Opportunities Fund, signed a real rights agreement for the acquisition of properties located at Narva mnt 150 and Narva mnt 150a. The properties were purchased from Hepsor Group company Hepsor N450 OÜ.
- ✓ On 5 August, the Supervisory Board of Hepsor AS elected Henri Laks as its new Chairman. His mandate is valid for three years.
- ✓ On 14 August 2025, the acquisition by Hepsor AS's subsidiary, Hepsor Latvia OÜ, of a 100% shareholding in the Latvian company Starta 17 SIA was registered in the Latvian Commercial Register. Starta 17 SIA owns a property at Starta iela 17,

Riga. The development plan foresees the construction of three 14-storey residential buildings comprising approximately 250 apartments and a net floor area of 14,500 m². Construction is planned to start in stages at the end of 2026.

- ✓ On 19 August, Hepsor AS paid dividends to its shareholders in the amount of 0.26 euros per share, totalling 1.0 million euros.
- ✓ On 12 September, Hepsor Group companies Hepsor Phoenix 3 OÜ and Hepsor Phoenix 4 OÜ signed loan agreements with AS LHV Pank in the total amount of 40.3 million euros to finance two development projects in the Manufaktuuri quarter in Tallinn – Manufaktuuri Vabrik (Phase I) and Manufaktuuri 12.
- ✓ On 15 September, Hepsor AS's group subsidiary Hepsor Phoenix 3 OÜ signed a construction contract with Mitt & Perlebach OÜ for the construction of the first phase of the Manufaktuuri Vabrik at Manufaktuuri 5b, with a total value of 33.3 million euros, plus VAT.
- ✓ On 15 September 2025, Hepsor Jugla SIA, a company belonging to the Hepsor AS Group, and construction company Mitt & Perlebach SIA signed a construction contract valued at 8.2 million euros, plus VAT. The contract was concluded for the construction works of the first phase of the Zaļā Jugla residential development project, located at Braila iela 23, Jugla, Riga.
- ✓ On 12 November 2025, Hepsor AS announced a public offering of bonds with a total volume of up to 20 million euros. Under the first series of the offering, Hepsor will raise up to 6 million euros, with the option to increase the amount to up to 8 million euros.
- ✓ On 21 November 2025, the public offering of Hepsor AS bonds ended. A total of 8.5 million euros worth of bonds was subscribed, of which 6.2 million euros (72.8%) in Estonia, 2.1 million euros (24.6%) in Latvia, and 0.2 million euros (2.6%) in Lithuania. The base volume of the first series of the offering, 6 million euros, was oversubscribed 1.4 times. Hepsor exercised its right to increase the offering volume by 2,000 bonds, bringing the total offering size to 8 million euros. The bonds were credited to the investors' securities accounts on 26 November, and the first trading day of the bonds on the Nasdaq Tallinn Stock Exchange Baltic Bond List was 27 November 2025.
- ✓ On 18 December 2025, Hepsor AS and AS Phoenix Land, a company of the Tolaram Group, signed a shareholders' agreement under which the parties will continue their cooperation in implementing the next phase of the Manufaktuuri Quarter development. For this purpose, Hepsor's subsidiary Hepsor PHX5 OÜ (registry code 17394859) was established, owned in equal shares by Hepsor AS and AS Phoenix Land. The new company will undertake the development of residential and commercial real estate at Manufaktuuri 3 in Tallinn. AS Phoenix Land will contribute the aforementioned property as a non-monetary contribution to the voluntary reserve capital of Hepsor PHX5 OÜ in the total amount of 5.8 million euros.
- ✓ On 19 December 2025, Harju County Court approved the list of creditors of Novel Clinic Assets OÜ, concluding that Hepsor P113 OÜ had the right to terminate its lease agreement with Novel Clinic Assets OÜ. The court recognised Hepsor P113 OÜ's claims against Novel Clinic Assets OÜ in the amount of 6,090,257.27 euros as first-rank claims. Of this amount, 2,947,092.88 euros is conditional and depends on whether that part of the damage will decrease in the future.
- ✓ On 30 December 2025, Hepsor E18 SIA, a company within the Hepsor AS group, and construction company Mitt & Perlebach signed a contract for the construction of the residential development project "Ķiršu kalna mājas" in the Dzirciems district of Riga. The value of the construction contract is 5.25 million euros, plus VAT.

Group Structure

As at 31 December 2025, the Group consisted of the parent company, 48 subsidiaries, two associates, one joint venture, and one subsidiary of an associate (as at 31 December 2024, the Group consisted of the parent company, 44 subsidiaries, one associate and its subsidiary). Tatari 6a Arenduse OÜ, Weston Limited Partnership, Elysium Isabella Limited Partnership, Elysium Glenavy Limited Partnership, Hepsor & Elysium Limited Partnership, Elysium & Hepsor High Park Limited Partnership, and Elysium & Hepsor Brownville Limited Partnership are recognised as financial investments.



In 2025 the following changes took place in the structure of the Group:

- ✓ On March 20, 2025, Hepsor AS's subsidiary Hepsor Finance OÜ established a subsidiary named Hepsor SOF OÜ and sold a 50% stake in it on April 11, 2025, to the EfTEN Special Opportunities Fund. Hepsor Finance OÜ accounts for Hepsor SOF OÜ as a joint venture company.
- ✓ On April 30, 2025, Hepsor AS acquired a 49% stake in Hepsor 3Torni OÜ, becoming the sole owner of the company.
- ✓ On 8 July 2025, the Supervisory Board of Hepsor AS adopted a decision to increase the share capital of Hepsor AS by 57,821 euros. The share capital increase is related to the acquisition of a 20% holding in Hepsor Latvia OÜ from Hugomon OÜ, as approved by the shareholders' resolution on 12 June 2025. The acquisition was partly settled through the issuance of new shares in Hepsor AS to Hugomon OÜ.
- ✓ On 9 July 2025, Hepsor AS's subsidiary, Hepsor Latvia OÜ, acquired a 50% shareholding in Hepsor Dz74c SIA. The registration of the ownership change was entered in the Commercial Register on 1 August 2025.
- ✓ On 14 August 2025, Hepsor AS's subsidiary, Hepsor Latvia OÜ, acquired a 100% shareholding in Hepsor S17 SIA.
- ✓ On 18 December 2025, Hepsor AS established its subsidiary Hepsor PHX5 OÜ, where Hepsor is 50% shareholder.

Key financials

in thousands of euros	2025	2024	2023	Q4 2025	Q4 2024	Q4 2023
Revenue	35,414	38,397	41,135	4,526	10,542	5,087
Gross profit/-loss	5,636	6,762	7,068	694	2,531	244
EBITDA	3,458	4,536	5,227	367	2,050	-225
Operating profit/-loss	3,359	4,332	5,034	346	1,998	-277
Net profit/-loss	1,039	2,134	3,480	-422	957	-1,298
Incl net profit/-loss attributable to the owners of parent	399	423	1,185	-538	578	-1,087
Comprehensive income/-loss	191	-156	1,713	-344	-76	-3,315
Incl comprehensive profit/-loss attributable to the owners of parent	899	-81	1,127	-466	248	-1,157
Earnings per share	0.10	0.11	0.31	-0.14	0.15	-0.28

in thousands of euros	31 December 2025	31 December 2024	31 December 2024
Total assets	91,835	88,813	91,001
Incl inventories	58,938	64,141	77,439
Total liabilities	50,644	66,803	68,840
Incl subordinated loans from subsidiary owners and other equity-like instruments classified as liabilities	16,070	16,393	13,202
Total interest-bearing loan liabilities	47,747	54,688	56,905
Incl subordinated loans from subsidiary owners	13,770	14,693	13,202
Total equity	27,078	22,010	22,161
Incl equity attributable to the owners of parent	20,858	20,912	20,993

Key Ratios

	2025	2024	2023	Q4 2025	Q4 2024	Q4 2023
Gross profit margin	15.9%	17.6%	17.2%	15.3%	24.0%	4.8%
Operating profit margin	9.5%	11.3%	12.2%	7.6%	19.0%	-5.4%
EBITDA margin	9.8%	11.8%	12.7%	8.1%	19.4%	-4.4%
Net profit margin	2.9%	5.6%	8.5%	-10.7%	9.1%	-25.5%
Net profit margin attributable to owners of the parent	1.1%	1,1%	2.8%	-11.9%	5.4%	-21.4%
General expense ratio	8.9%	7.0%	5.0%	25.0%	7.2%	10.6%

	31 December 2025	31 December 2024	31 December 2024
Equity ratio	29.5%	24.8%	24.4%
Adjusted equity ratio	47.0%	43.2%	38.9%
Debt ratio	52.0%	61.6%	62.6%
Adjusted debt ratio	37.0%	45.0%	48.0%
Current ratio	4.6	2.3	1.7
Return of equity	4.2%	9.7%	16.4%
Return on equity attributable to the owners of the parent	1.9%	2.0%	5.8%
Return on assets	1.2%	2.4%	4.1%

Definitions of ratios

Gross profit margin = gross profit / revenue
Operating profit margin = operating profit / revenue
EBITDA margin = (operating profit + depreciation) / revenue
Net profit margin = net profit / revenue
Net profit margin attributable to the parent company`s owners = net profit attributable to the parent company`s owners/revenue
General expense ratio = (marketing expenses + general and administrative expenses) / revenue
Equity ratio = end-of-period equity / total assets
Adjusted equity ratio = (equity at the end of the period + subordinated loans from subsidiary owners and other equity-like instruments classified as liabilities) / total assets
Debt ratio = interest-bearing liabilities / total assets
Adjusted debt ratio = (interest- bearing liabilities- subordinated loans from subsidiary owners)/total assets
Current ratio = current assets / current liabilities
Return on equity = net profit of trailing 12 months / arithmetic average shareholder’s equity
Return on equity attributable to the owners of the parent = net profit of trailing 12 months attributable to owners of the parent / arithmetic average shareholder’s equity attributable to owners of the parent
Return on assets = net profit of trailing 12 months / average total assets

Operating Results

Sales Revenue

The Group’s sales revenue for 2025 amounted to 35.4 million euros (2024: 38.4 million euros), of which sales revenue generated in Estonia totalled 26.1 million euros (2024: 32.5 million euros), representing 73.7% (2024: 84.6%) of total sales revenue, while sales revenue generated in Latvia amounted to 9.3 million euros (2024: 5.9 million euros), accounting for 26.3% of the Group’s total sales revenue (2024: 15.4%).

Sales revenue for the fourth quarter of the reporting year amounted to 4.5 million euros (Q4 2024: 10.5 million euros), of which sales revenue generated in Estonia totalled 3.2 million euros (Q4 2024: 8.8 million euros), representing 70.5% (Q4 2024: 83.3%), and revenue generated in Latvia amounted to 1.3 million euros (Q4 2024: 1.7 million euros), representing 29.5% (Q4 2024: 16.2%) of the Group’s total revenue.

Large fluctuations in sales revenue are relatively common in real estate development sector. The development cycle of the Group's real estate projects lasts approximately 36 months. In year-on-year comparisons, sales revenues and profits may fluctuate depending on the period between the completion of the construction of the development project and the sale of the completed apartments.

In 2025, the Group sold a total of 141 apartments under real right agreements (2024: 194 apartments), of which 22 apartments were sold in the fourth quarter (Q4 2024: 52). During the reporting year, a total of 91 apartments were sold in Tallinn under real right agreements (2024: 165 apartments) and 50 apartments in Riga (2024: 29 apartments).

In 2025, Hepsor Group companies Hepsor Fortuuna OÜ and Hepsor N450 OÜ sold the properties located at Paevälja 5, 7 and 9, and Narva mnt 150 and 150a to the Group’s joint venture (50% ownership) Hepsor SOF OÜ. The total transaction value was 9.0 million euros (plus VAT). During the reporting period, revenue of 7.2 million euros from this transaction is recognised, as the amount has been adjusted for unrealised profit of 1.8 million euros.

In addition to apartment sales, the Group also provides project management services and earns rental income. In 2025, the Group generated other revenue in the same amount as in the comparable period, totalling 2.2 million euros, which accounted for 6.1% (2024:5.8%) of the Group’s total sales revenue.

In the fourth quarter, other revenue totalled 0.8 million euros (Q4 2024: 1,1 million euros), accounting for 17.6% (Q4 2024: 10.2%) of the Group’s total sales revenue.

Profitability

In 2025, the Group’s profitability was affected by a decrease in the number of apartments delivered to customers compared to the previous year—141 apartments (2024: 194). Profitability was also negatively impacted by a lower gross margin on sold projects, which was 16.9% in 2025 (2024: 17.8%), and by increased marketing expenses, which amounted to 1.3 million euros in 2025 (2024: 0.9 million euros). The increase in marketing expenses was primarily attributable to the growth in the number scale of projects on sale, which resulted in more intensive sales and marketing activities. The Group’s financial and personnel expenses remained at a similar level compared to the previous year.

On the positive side, reclassification of inventories to investment property resulted in other operating income totalling 0.8 million euros (2024: 0.3 million euros), and interest income increased by 0.3 million euros compared to the previous year.

The Group's gross profit for the reporting year was 5.6 million euros, with a gross profit margin of 15.9% (2024: 6.6 million euros and 17.6%) and in the fourth quarter, the Group's gross profit amounted to 0.7 million euros, with a gross profit margin of 15.3% (Q4 2024: 2.5 million euros and 24.0%).

In 2025, the plots at Paevälja 5, 7,9 and at Narva mnt 150 and 150a were sold, resulting in the recognition of gross profit of 1.9 million euros in the second and third quarters.

In 2025, the Group's operating profit amounted to 3.4 million euros, with operating profit for the fourth quarter totalling 0.3 million euros (2024: 4.3 million euros and Q4 2024: 2.0 million euros). The operating profit margin for the reporting year was 9.5% (2024: 11.3%), while the fourth-quarter operating profit margin was 7.6% (Q4 2024: 19.0%). In the fourth quarter, the properties at Narva mnt 150b, Alvari 1, Alvari 1a and Alvari 5 were reclassified from inventories to investment property. Following their revaluation at fair value, the Group recognised 0.8 million euros as other operating income. These properties are held for capital appreciation.

The Group's net profit for 2025 was 1.0 million euros (2024: 2.1 million euros), of which 0.4 million euros was attributable to the owners of the parent company (2024: 0.4 million euros) and 0.6 million euros to non-controlling interests (2024: 1.7 million euros).

The Group recognised a net loss of 0.5 million euros in the fourth quarter (Q4 2024: net profit 1.0 million euros), of which 0.5 million euros was attributable to the owners of the parent company (Q4 2024: net profit 0.4 million euros).

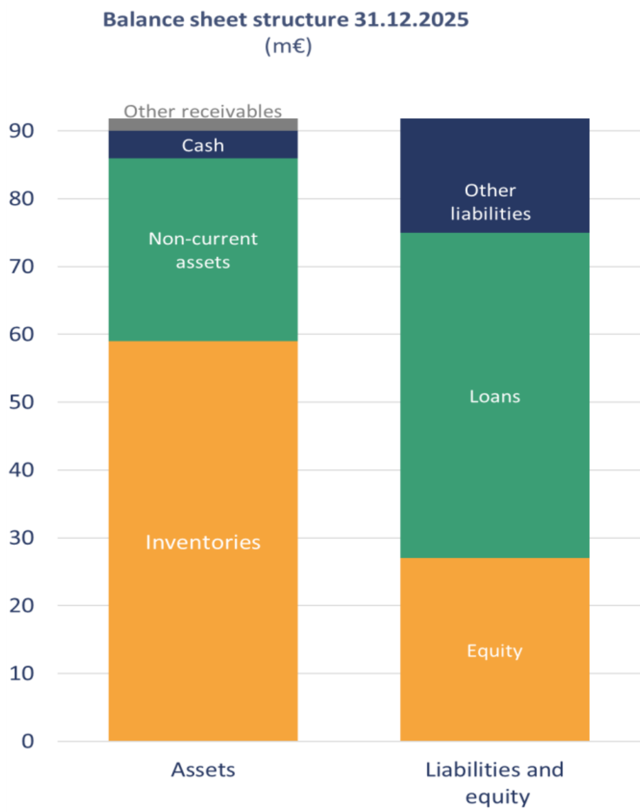
The net profit margin for the reporting year was 2.9%, while in the fourth quarter it was -10.7% (2024: 5.7% and Q4 2024: 9.1%). The net profit margin attributable to the owners of the parent company was -11.9% in Q4 (Q4 2024: 5.5%) and 1.1% for the full reporting year (2024: 1.1%).

Balance Sheet

The Group's total assets increased by 3.4% over the year, amounting to 91.8 million euros as at 31 December 2025 (31 December 2024: 88.8 million euros). Inventories accounted 64.2% or 58.9 million euros of total assets (31 December 2024: 72.2% and 64.1 million euros).

The increase in inventories in 2025 was driven by the addition if three new residential development projects to the Group`s development portfolio: two in Riga - a 103- apartment project at Dzelzavas iela 74C and a 255 – apartment project at Starta 17- and on in Tallinn at Manufaktuuri 3. Inventories decreased due to the sale of 141 apartments under real right agreements, the sale of the land plots at Paevälja 5,7,9 and Narva mnt 150, 150a, and reclassification of the properties at Narva mnt 150b and Alvari 1,1a and 5 to investment property.

As at 31 December 2025, cash and cash equivalents accounted for 4.2% or 3.8 million euros of the total assets. At the same date in previous year, cash and cash equivalents accounted for 7.0% or 6.2 million euros of total assets.



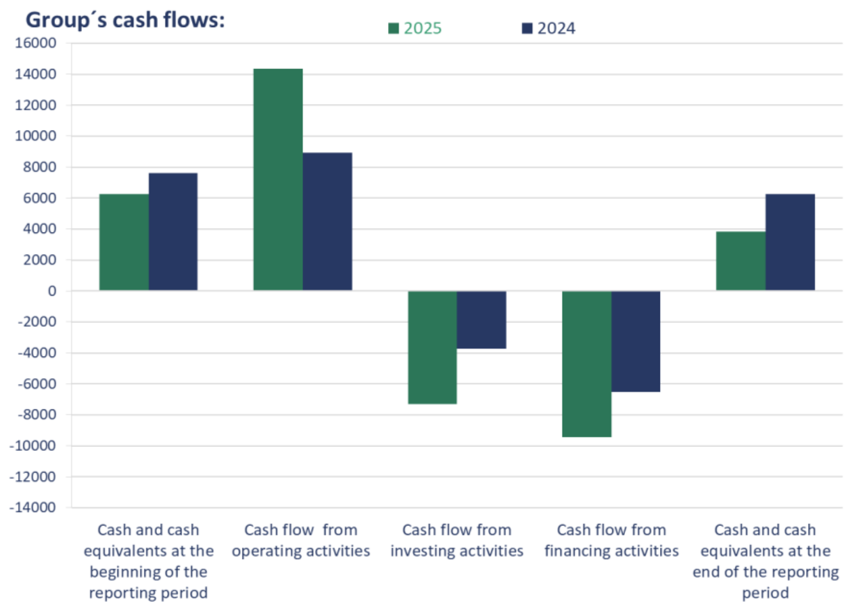
The Group's loan liabilities totalled 47.7 million euros as at 31 December 2025, compared to 54.7 million euros at the same date in the previous year, and the debt ratio was 52.0% (31 December 2024: 61.6%). Loans granted by the shareholders of subsidiaries, which are related to the development project risk of the subsidiaries, amounted to 13.7 million euros (31 December 2024: 14.7 million euros). The adjusted debt ratio stood 37.0% at year-end (2024:45.0%).

The Group's total equity increased by 23.0% to 27.1 million euros. The main driver of the increase in the Group`s equity was a non-cash contribution made by the non-controlling interest to the voluntary reserve of the subsidiary Hepsor PHX5 OÜ. By the end of the reporting year, the non-controlling interest`s equity in Group`s consolidated financial statements amounted to 6.2 million euros (2024: 1.2 million euros). As at 31 December 2025, the Group's equity ratio was 29.5% (31 December 2024: 24.8%). The adjusted equity ratio, reflecting the inclusion of loans provided by non-controlling interests of subsidiaries in respect of development project risk within equity, amounted to 47.0% as at 31 December 2025 (31 December 2024: 43.2%).

The Group's equity attributable to the owners of the parent company decreased by 0.3% during the reporting period, reaching 20.9 million euros. The change in equity was influenced by the profit for the reporting year, the payment of dividends in the amount of 1.0 million euros, which was recognised as a distribution of retained earnings, and the acquisition of a 20% shareholding in Hepsor Latvia (Note 20).

Cash Flows

The Group's cash and cash equivalents amounted to 6.2 million euros at the beginning of 2025 and to 3.8 million euros as at 31 December 2025. The negative cash flow for the period was 2,4 million euros (2024: 1.3 million euros).



In the reporting year, the Group's cash flow from operating activities was positive at 14.3 million euros (2024: 8.9 million euros). The Group`s operating cash flow for 2025 was positive at 4.1 million euros (2024: 6.5 million euros) and the positive impact on operating cash flows amounted to a non-cash change of 5.8 million euros, resulting from the transfer of property to the voluntary reserve. This was a non-cash transaction that did not affect the Group`s cash resources but impacted operating cash flow as presented in the statement of cash flows.

In 2025, the Group's cash flow from investing activities was negative in the amount of 7.5 million euros (2024: 3.7million euros). During the reporting period, the Group invested 1.9 million euros (2024: 4.4 million euros) in Canadian projects and paid 1.4 million euros for the stakes in Hepsor Dz74 SIA and Hepsor S17 SIA. During the first nine months of 2025, the Group granted loans to associates and joint ventures in the amount of 4.1 million euros (2024: 0.9 million euros).

Cash flows from financing activities were negative at 9.5 million euros (2024: 6.5 million euros). The net amount of loans received in 2025 was -13.5 million euros (2024: -1.3 million euros). During the reporting period, the Group paid interest of 3.5 million euros (2024: 5.3 million euros). In November 2025, the Group raised 8.0 million euros through a public bond issuance. Issuance-related costs amounted to 0.2 million euros and have been recognised as an adjustment to the financial liability, being amortised as interest expense over the term of the bonds. The net cash proceeds from the bond issuance amounted to 7.8 million euros.

Share and Shareholders

The shares of Hepsor AS (HPR1T; ISIN EE3100082306) have been listed in the Main List of Nasdaq Tallinn Stock Exchange since 26 November 2021. The Group has issued 3,912,522 shares with nominal value of 1 euro.

As at 31 December 2025, Hepsor AS had 8,561 shareholders.

Hepsor AS shares held by the members of Management and Supervisory Boards and entities related to them:

Shareholder	Position	Number of shares	Shareholding %
Martti Krass	Member of Management Board	59,109	1.51%
Henri Laks	Chairman of Supervisory Board	498,000	12.73%
Andres Pärloja	Member of Supervisory Board	997,500	25.49%
Kristjan Mitt	Member of Supervisory Board	997,500	25.49%
Total	-	**2,552,109**	**65.23%**

Shareholder structure by number of shares held as at 31 December 2025:

Number of shares	Number of shareholders	% of shareholders	Number of shares	% of shares
100 001-…	6	0.07%	3,012,161	76.99%
10 001-100 000	9	0.11%	348,584	8.91%
1001-10 000	47	0.55%	140,442	3.59%
101-1000	755	8.82%	206,127	5.27%
1-100	7,744	90.46%	205,208	5.24%
Total	**8,561**	**100.00%**	**3,912,522**	**100.00%**

During the period from 1 January 2025 to 31 December 2025, a total of 6,844 transactions were carried out with Hepsor shares, during which 151,152 shares changed hands for a total value of 783,520 euros. The highest transaction price during the period was 7.26 euros and the lowest was 3.60 euros. The market capitalisation of the shares as at 31 December 2025 was 24.3 million euros, and the equity attributable to the owners of the parent company totalled 21.0 million euros (31 December 2024: 21,0 million euros).

Market cap at 31 December 2025

24.3

million euros

On 8 July 2025, the Supervisory Board of Hepsor resolved to increase the share capital of Hepsor by 57,821 euros. The share capital increase was related to the acquisition of a 20% holding in Hepsor Latvia OÜ from Hugomon OÜ, approved by the shareholders' resolution on 12 June 2025, for which Hepsor partially paid by issuing new shares to Hugomon OÜ.

The increase of Hepsor's share capital was registered in the Commercial Register on 17 July 2025, after which the share capital of Hepsor amounted to 3,912,522 euros, divided into 3,912,522 shares with a nominal value of 1 euro each. In accordance with the decision of the Nasdaq Tallinn Stock Exchange Management Board dated 18 July 2025, the additionally issued 57,821 shares were listed and admitted to trading on the Nasdaq Tallinn main list as at 22 July 2025.